



Many investors ask whether they can build an investment portfolio with a small capital. The answer is in order to grow big you need to start small and stay invested. The longer you hold the better for you. In fact the mission statement of our portfolio management services reads, “We create high net worth individuals, we do not chase them”. We believe in the power of compounding.

A word of advice to day traders: considering the amount of transaction charges and brokerage they pay with each trade, if they really calculate the cost at the end of a year they will find it worthwhile to quit day trading and become brokers.

Investors also need to be alert. How many of them look at the expense ratio of a fund? Expense ratio is where the research costs, salaries, and other management expenses of a fund are deducted from the mutual fund holder’s account every year. If the expense ratio of the fund is two per cent that means that for every Rs. 100 you have in the fund Rs. 2 will be deducted from your account every year. Now if you have invested in two funds, with expense ratios of 0.75 per cent and 2.5 per cent, the difference of 1.75 per cent can impact the returns to a great extent. Investors need to be aware of these small details when they invest in mutual funds.



Pattern Recognition

Human minds are not perfectly rational. As a matter of fact a huge portion of the world’s economy is run by irrational behaviour. For example, tobacco, alcohol, and junk food are injurious to health yet we continue to indulge in them. Diamond jewellery serves no useful purpose, yet it has a high value on account of the wearer’s emotional perception, which is primarily determined by advertising and snob appeal. The market research conducted by Pepsi in 1980 illustrates the irrationality of human behaviour. Consumers were given unidentified samples of cola, including Coke and Pepsi. When asked their preference, most of them chose Pepsi. Then Coca-Cola conducted a similar research and they got the same results. They realised that people preferred the sweeter flavour of Pepsi. Taking a cue from this, the company